

Subject Description Form

Subject Code	AF1BN01
Subject Title	Economic Logic in Everyday Life
Credit Value	3
Level	1
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Role and Purposes	The aim of this course is to stimulate interest in economics, by contextualizing it in terms of how it influences both consciously and subconsciously, the choices and decisions we all make as part of our daily lives. Towards this objective, the course unravels the apparent complexity of economic outcomes, by making seemingly difficult economic concepts accessible to even those who might have no prior training or background in economics.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: (a) comprehend a wide range of economic concepts; (b) examine critically real-world economic issues and outcomes; (c) apply economic decision-making skills towards analytical reasoning; and (d) develop an ability towards prudent decision-making in everyday life
Subject Synopsis/ Indicative Syllabus	Topic 1: The Lessons in Economics Cognitive systems and economic thinking; Scarcity, value and opportunity cost; Thinking marginally; Cost-Benefit analysis; Gains from exchange. Topic 2: Thinking Strategically Anticipation and strategy; Cooperation and cheating; Threats and bluffs in conflicts; Repeated interaction – from stranger to familiar. Topic 3: Power of Markets Demand and Supply; Price as signal; Market equilibrium; Market efficiency and fairness. Topic 4: Market Failure and Public Policy Market Regulation (economic motive) – Externalities, Public Goods; Market Regulation (non-economic motive) - Rent Control; Public policy consequences. Topic 5: Economics of Information Hidden information and action; Market for used cars; Insurance markets; Education as a signal; Managerial pay and performance. Topic 6: Social Preferences and Norms Altruism; Fairness; Inequity Aversion; Reciprocity.

	Topic 7: Psychology of Choice - Heuristics Dual cognitive systems; Predictable biases and corresponding heuristics in judgement – Reference dependence, Representativeness, Availability. Topic 8: Psychology of Choice - Time Inconsistency Hyperbolic discounting and present bias; Affective states and projection bias; Pre-commitment and self-control.							
Teaching/Learning Methodology	Classes will provide an active learning environment, where in addition to explanation and application of concepts, regular individual and group activities are designed to enable students to demonstrate their ability to critically analyse and examine economic issues, through real world case studies, structured problems and contextual experiments.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Group Discussion	20%	√	√	√	√		
	2. Individual Presentation	5%	√	√	√	√		
	3. Individual Report	15%	√	√	√	√		
	4. Class Participation	10%	√	√	√	√		
	5. Examination	50%	√	√	√	√		
	Total	100 %						
	Student Study Effort Expected	Class contact:						
▪ Seminar				39 Hrs.				
Other student study effort:								
▪ Self-study and preparation				75 Hrs.				
Total student study effort				114 Hrs.				
Reading List and References	<i>Hidden Order: The Economics of Everyday Life</i> by David D. Friedman. Harper Paperbacks (1997). <i>Harford, Tim (2006). The Undercover Economist. Random House Trade Paperbacks.</i> <i>Naked Economics: Undressing the Dismal Science</i> by Charles J. Wheelan. W. W. Norton & Company (2003). <i>Harford, Tim (2008). The Logic of Life: The Rational Economics of an Irrational World. New York: Random House.</i>							

	Frank, R. H. (2007). <i>The Economic Naturalist</i>. New York: Basic Books. Ariely, Dan (2008). <i>Predictably Irrational: The Hidden Forces that Shape our Decision</i>, New York: HarperCollins Kahneman, Daniel (2012). <i>Thinking, Fast and Slow</i>, Penguin.
--	--